



LUSHIKISHINI

Cattle Feeding Cooperative

BUSINESS PLAN

E500,000

Regional Development Fund Grant Application

Location: Lushikishini, kaMavuso, Phondo Inkhundla

Traditional Authority: Chief Somtsewu

Members: 10 Community Members

Executive Summary

The **Lushikishini Cattle Feedlot Cooperative** is a community-driven agricultural initiative established by 10 members from Lushikishini, kaMavuso. We seek **E500,000** from the Regional Development Fund to establish a sustainable cattle feedlot operation that will transform the economic prospects of our community.



E500,000

Grant Requested



E60,000

Our Contribution (10.9%)



10

Members



40

Cattle Capacity

Project Highlights

✓ **Strong Team**

10 committed members including qualified agronomist, accountant, and experienced cattle handlers

✓ **Proven Concept**

Feedlot farming is established and profitable across Southern Africa

✓ Demonstrated Commitment	E60,000 own contribution (4 cattle + existing kraal + labour)
✓ Market Access	Established relationships with abattoir buyers who collect from farm
✓ Community Support	Operating on communal land approved by Chief Somtsewu

EXPECTED MONTHLY PROFIT

E50,100

E4,008 per member per month • E54,108 per member annually

**142%**

Return on Investment

**8.4**

Months to Payback

Project Description

What We Do

The project operates a **cattle feedlot business** using a batch feeding and rotational sales model:

Step 1: Purchase

Buy weaner calves (180-220 kg) at market prices (~E6,500 each)

Step 2: Feed

Intensive feeding for 90-120 days using crop residues and supplements

Step 3: Sell

Sell finished cattle (380-450 kg) to abattoirs at ~E14,000 each

Step 4: Repeat

Continue cycle with new batch - selling 10 cattle every month

Infrastructure Plan

Feedlot	Status	Capacity	Cost
Feedlot 1	✓ Already Built	10 cattle	E10,000 (own contribution)
	To be built	10 cattle	E35,000

Feedlot**2**

Feedlot 3	To be built	10 cattle	E35,000
Feedlot 4	To be built	10 cattle	E35,000
TOTAL		40 cattle	E115,000

Why Feedlot Farming?

Traditional Cattle Farming	Feedlot Finishing
2-3 years to market weight	90-120 days to market weight
Unpredictable income	Monthly sales cycle
Weather-dependent	Controlled feeding environment
Lower weight gains (0.3-0.5 kg/day)	Higher weight gains (0.8-1.2 kg/day)
Variable meat quality	Consistent quality for premium prices

Our Team

The cooperative brings together **10 dedicated members** from the Lushikishini community, combining professional expertise with hands-on cattle farming experience.

Leadership Team

Sibusiso Mavuso

Project Leader & Financial Manager

Qualified Accountant • Overall leadership and financial oversight

Sanele Dlamini

Technical Advisor (Agronomy)

BSc Agriculture (UNESWA) • Feed formulation and animal nutrition

Zakhele Dlamini

Secretary & Environmental Compliance

Qualified Environmentalist • Records and sustainable practices

Seluleko Ndwandwe

Operations Manager

Experienced cattle handler • Daily operations management

All Members

#	Name	Role	Contribution
1	Sibusiso Mavuso	Project Leader / Financial Manager	Leadership, 4 cattle (E40,000)
2	Sanele Dlamini	Technical Advisor (Agronomist)	Technical expertise
3	Zakhele Dlamini	Secretary / Environmental	Administration

4	Seluleko Ndwandwe	Operations Manager	Daily management
5	Sibusiso Dlamini	Cattle Handler	Labour, experience
6	Temancele Mavuso	Member / Worker	Labour
7	Gugu Vilakati	Member / Worker	Labour
8	Vuyo Motsa	Member / Worker	Labour
9	Neliso Mavuso	Member / Worker	Labour
10	Sphumelele Shabangu	Member / Worker	Labour

All 10 members are from Lushikishini community

Profits shared equally • 10% per member

Financial Projections

Capital Requirements

ITEM	AMOUNT
A. INFRASTRUCTURE	
3 Feedlot constructions (poles, wire, cement)	E105,000
Feeding troughs (12 units)	E24,000
Water system (pipes, tanks, troughs)	E25,000
Handling crush	E15,000
Storage shed for feed	E20,000
Subtotal Infrastructure	E189,000
B. LIVESTOCK	
36 Weaner cattle @ E6,500 each	E234,000
C. OPERATING CAPITAL	
Feed (3 months initial supply)	E57,000
Veterinary supplies	E10,000
Transport & miscellaneous	E10,000
TOTAL GRANT REQUESTED	E500,000

Funding Summary

Source	Amount	Percentage
RDF Grant Requested	E500,000	89.1%
Own Contribution (4 cattle + kraal + labour)	E60,000	10.9%
TOTAL PROJECT COST	E560,000	100%

Monthly Revenue (At Full Operation)

Income

Sale of 10 finished cattle
E140,000

Expenses

Replacement weaners (10)
E65,000

Feed costs
E18,900

Vet & medicine
E2,000

Utilities & transport
E4,000

Total Expenses
E89,900

MONTHLY NET PROFIT

E50,100

After deducting 20% for reserves → E40,080 distributed to members

5-Year Financial Projection

Year	Revenue	Costs	Gross Profit	Per Member (Annual)
Year 1 (7 months full ops)	E980,000	E629,300	E350,700	E31,563
Year 2	E1,680,000	E1,078,800	E601,200	E54,108
Year 3	E1,680,000	E1,078,800	E601,200	E54,108
Year 4	E1,680,000	E1,078,800	E601,200	E54,108
Year 5	E1,680,000	E1,078,800	E601,200	E54,108
5-YEAR TOTAL	E7,700,000	E4,944,500	E2,755,500	E247,995

Key Financial Indicators



142%

Return on Investment



8.4 months

Payback Period



6 cattle

Break-even per Month



40%

Safety Margin

Risk Analysis

Risk	Likelihood	Impact	Mitigation Strategy
Cattle disease outbreak	Medium	High	Vaccination program, quarantine protocols, vet relationship
Feed price increases	Medium	Medium	Bulk purchasing, grow own fodder, diversify sources
Cattle theft	Low	High	Security fencing, night watch, community awareness
Market price drop	Medium	Medium	Quality focus for premium prices, buyer relationships

Drought affecting feed	Medium	Medium	Feed storage, crop residue agreements with farmers
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Implementation Plan

Month 1

Grant approval & disbursement

Procurement planning • Site preparation • Order materials

Month 2

Construction begins

Build Feedlot 2 • Install water system • Purchase first 10 weaners

Month 3

Expansion continues

Build Feedlot 3 • Purchase second batch • Begin feeding program

Month 4

Complete infrastructure

Build Feedlot 4 • Storage shed • Purchase third batch

Month 5

First sales!

Sell first 10 finished cattle • Purchase fourth batch • Full capacity

Month 6+

Full operation

Monthly cycle: Buy 10, Feed 40, Sell 10 • Consistent income begins

Impact & Benefits

Economic Impact

- E54,108 annual income per member
- E541,080 combined annual income
- Reduced poverty for 10 households
- Economic multiplier in local area

Social Impact

- 50+ indirect beneficiaries
- Youth retention in community
- Skills development & training
- Model for replication

Sustainability

This project is self-sustaining after the initial grant

Monthly profits fund ongoing operations, maintenance, and growth

Reserve Fund	Monthly Allocation	Purpose
Emergency Reserve	E5,010 (10%)	Disease outbreaks, cattle deaths, unexpected costs

Development Fund	E5,010 (10%)	Maintenance, equipment, future expansion
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This business plan was prepared in January 2026 for submission to the Regional Development Fund, Kingdom of Eswatini.

Lushikishini Cattle Feedlot Cooperative • Phondo Inkhundla • Chief Somtsewu